Type MS · Market segmentation and targeting

Answer 1 of 6 · Question 2 part e · 3 marks

2023 NOV · Paper 01 · extract 1 of 6 · find part e in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for the identification of a valid method *AWG* could use to motivate its employees • The business could use job rotation so employees make not only jumpers but shirts as well **(1)** **NB** Do not accept a method that is not in the context of *AWG* **Accept any appropriate response.**	**(1)**

Question Number	State **one** task of an *AWG* employee working in the human resources department. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for the identification of a valid task of an *AWG* employee working in the human resources department • *The AWG* employee working in the human resources department may be responsible for arranging the training of new employees to use the sewing machines **(1)** **NB** Do not accept a task that is not in the context of *AWG* **Accept any appropriate response.**	**(1)**

Type MS · Market segmentation and targeting

Answer 1 of 6 · Question 2 part e · 3 marks

2023 NOV · Paper 01 · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Explain **one** benefit of globalisation to a small business. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a benefit of globalisation to a small business, plus 2 further marks for explaining this benefit, for a maximum of 3 marks. • A small business can reach a larger audience of customers **(1)** because it can sell its products into new countries **(1)** leading to increased revenue and profitability for the business **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any appropriate response.**	**(3)**

Question Number	Explain **one** method of below-the-line promotion a business may use to retain its customers. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of a method of below-the-line promotion a business could use, plus 2 further marks for explaining this method, for a maximum of 3 marks. • Existing customers may be offered sales promotions/discounts **(1)** with the aim of enticing customers to buy at a lower price **(1)** and therefore encourage repeat sales by its customers **(1)** **NB** Answers that list three methods with no explanation will get 1 mark only. **Accept any appropriate response.**	**(3)**

Type MS · Market segmentation and targeting

Answer 1 of 6 · Question 2 part e · 3 marks

2023 NOV · Paper 01 · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Explain **one** benefit to a business of using market segmentation to target its customers. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for the identification of a benefit to a business of using market segmentation to target its customers, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • To identify customers with similar characteristics **(1)** in order to develop a product or service which meets those customers' needs **(1)** leading to an increase in sales and consumer loyalty **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any appropriate response.**	**(3)**

Type MS · Market segmentation and targeting

Answer 1 of 6 · Question 2 part e · 3 marks

2023 NOV · Paper 01 · extract 4 of 6 · find part e in this mark scheme extract

Question Number	It is considering two options: **Option 1:** use venture capital to open new stores **Option 2:** start offering franchises. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – A venture capitalist may provide the funds to build the new stores to sell the jumpers • **Option 2** – A franchisee will pay *AWG* a fee for the right to sell its baby clothes **AO3** • **Option 1** – As well as providing the funds the venture capitalist may also have knowledge of the needs of Icelandic customers • **Option 2** – This method would allow *AWG* to increase its revenue from fees paid by the franchisee **AO4** • **Option 1** – However, the venture capitalist may want to take some control of the business and interfere with the decision making and objectives of the business • **Option 2** – However, *AWG* are reliant on the franchisee running the business well and not causing bad publicity for *AWG* which might impact its brands reputation	**(9)**

Type MS · Market segmentation and targeting

Answer 1 of 6 · Question 2 part e · 3 marks

2023 NOV · Paper 01 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Market segmentation and targeting

Answer 1 of 6 · Question 2 part e · 3 marks

2023 NOV · Paper 01 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Define the term **job production.** **Answer**	Mark

Type MS · Market segmentation and targeting

Answer 2 of 6 · Question 1 part d · 1 mark

2021 JUN · Paper 01 · extract 1 of 7 · find part d in this mark scheme extract

1 (a) (i)	AO1 - 1 mark **1 (a) (i) The only correct answer is C** **A** is not correct because personal savings are an internal source of finance **B** is not correct because retained profit is an internal source of finance **D** is not correct because selling assets is an internal source of finance	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	AO1 - 1 mark **1 (a) (ii) The only correct answer is B** **A** is not correct because penetration pricing is where a business sets a low price for a new product **C** is not correct because competition pricing is where a business sets a price for a product in line with its competitors **D** is not correct because promotional pricing is where a business lowers the price of a product for a short time	**(1)**

Type MS · Market segmentation and targeting

Answer 2 of 6 · Question 1 part d · 1 mark

2021 JUN · Paper 01 · extract 2 of 7 · find part d in this mark scheme extract

Question Number	Answer	Mark
1 (a) (iii)	AO1 - 1 mark **1 (a) (iii) The only correct answer is A** **B** is not correct because discrimination by ability is not protected by legislation **C** is not correct because social discrimination is not protected by legislation **D** is not correct because ethical discrimination is not protected by legislation	**(1)**

Question Number	Answer	Mark
1 (a) (iv)	AO1 - 1 mark **1 (a) (iv) The only correct answer is D** **A** is not correct because a curriculum vitae would be sent to the employer **B** is not correct because a letter of application would be sent to the employer **C** is not correct because a newspaper advertisement would be used to advertise the job vacancy	**(1)**

Question Number	Answer	Mark
1 (a) (v)	AO2 - 1 mark **1 (a) (v) The only correct answer is B** **A** is not correct because it is the exchange rate in euros **C** is not correct because it is the cost of 1kg of dried fruits **D** is not correct because it is the cost of 1kg of dried fruits added to the exchange rate of the euro	**(1)**

Type MS · Market segmentation and targeting

Answer 2 of 6 · Question 1 part d · 1 mark

2021 JUN · Paper 01 · extract 3 of 7 · find part d in this mark scheme extract

Question Number	Answer	Mark
1 (a) (vi)	AO2 - 1 mark **1 (a) (vi) The only correct answer is C** **A** is not correct because it is the cost of a jar of honey formatted as a percentage **B** is not correct because it is the selling price of a jar of honey minus the cost of a jar of honey as a percentage **D** is not correct because it is double the mark up of a jar of honey	**(1)**

Question Number	Define the term profit Answer	Mark
1 (b)	AO1 - 1 mark Award 1 mark for a correct definition of profit. • Total revenue – total costs (1).	**(1)**

Question Number	Define the term non-current liabilities Answer	Mark
1 (c)	AO1 - 1 mark Award 1 mark for a correct definition of non-current liabilities. • Debts that are payable after 12 months (1).	**(1)**

Type MS · Market segmentation and targeting

Answer 2 of 6 · Question 1 part d · 1 mark

2021 JUN · Paper 01 · extract 4 of 7 · find part d in this mark scheme extract

Question Number	State one reason why NOF segments its target market by income Answer	Mark
1 (d)	A02 - 1 mark Award 1 mark for a reason why NOF segments its target market by income. • NOF can sell higher priced organic products to people staying at the farm (1). Accept any other appropriate response.	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	A02 - 2 marks 90 – 10 = 80 (1) 80/160 x 100 = 50 (1)	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Market segmentation and targeting

Answer 2 of 6 · Question 1 part d · 1 mark

2021 JUN · Paper 01 · extract 5 of 7 · find part d in this mark scheme extract

Question Number	Explain one strategy a small business might use to extend the product life cycle of one of its products Answer	Mark
1 (f)	A01 - 3 marks Award 1 mark for identification of a strategy of extending a product life cycle, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • Local advertising could extend the life cycle of a product (1). A small business could deliver leaflets to the local area to increase customer awareness of a product (1) leading to a potential increase in sales (1). NB Answers that list three strategies with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	**(3)**

Question Number	Analyse the importance of marketing to NOF Indicative content	Mark
1 (g)	AO2 = 3 marks AO3 = 3 marks AO2 • Result from marketing would enable NOF to adapt its overnight accommodation to what the customers want. • Marketing can be used to make customers aware of its organic honey. AO3 • This may lead to increased bookings for the overnight accommodation. • Sales of organic honey may increase.	**(6)**

Type MS · Market segmentation and targeting

Answer 2 of 6 · Question 1 part d · 1 mark

2021 JUN · Paper 01 · extract 6 of 7 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Market segmentation and targeting

Answer 2 of 6 · Question 1 part d · 1 mark

2021 JUN · Paper 01 · extract 7 of 7 · find part d in this mark scheme extract

Question Number	State one external factor that could cause a change in demand for NOF products Answer	Mark

Type MS · Market segmentation and targeting

Answer 3 of 6 · Question 1 part c · 1 mark

2021 NOV · Paper 02 · extract 1 of 6 · find part c in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **A –** It is a more up to date method of research B – is incorrect as it is very time-consuming C – is incorrect as it is more expensive D – is incorrect as it is carried out by a variety of people not just agencies	**(1)**

Question Number	Which **one** of the following is a financial objective? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **B –** Market share A – is incorrect as personal satisfaction is not financial C – is incorrect as independence is not financial D – is incorrect as control is not financial	**(1)**

Question Number	Which **one** of the following is the total revenue for a day? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** **C** – £2 400 A – is incorrect as £600 is the fixed cost B – is incorrect as £1 800 is £600 x £3.00 D – is incorrect as £600 x £12.00	**(1)**

4BS1 02 November 2021

Type MS · Market segmentation and targeting

Answer 3 of 6 · Question 1 part c · 1 mark

2021 NOV · Paper 02 · extract 2 of 6 · find part c in this mark scheme extract

Question Number	Which **one** of the following would be a disadvantage for a partner in a partnership? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **B –** Liability for all debts A – is incorrect as sharing the workload is a benefit C – is incorrect as access to more capital is a benefit D – is incorrect as sharing skills is a benefit	**(1)**

Question Number	What would be the brand value in 2019? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **C –** $8.66 billion A – is incorrect as 6.20 is 14/10 = 1.4 7.6 – 1.4 = 6.2 B – is incorrect as 7.74 is 7.6 plus .14 D – is incorrect as 10.64 is 76 x .14	**(1)**

Question Number	Which **one** of the following is a source of long-term finance? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** **D –** Bank loan A – is incorrect as an overdraft is short term finance B – is incorrect as sales revenue is funds made from sales C 0 is incorrect as a bank loan is not long term finance.	**(1)**

4BS1 02 November 2021

Type MS · Market segmentation and targeting

Answer 3 of 6 · Question 1 part c · 1 mark

2021 NOV · Paper 02 · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Define the term **sole trader**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of sole trader. • A business owned exclusively by one person **(1)**	**(1)**

Question Number	Define the term **demographics**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of demographics. • A particular section of the population **(1)**	**(1)**

Question Number	State **one** reason why *Huawei* may use share capital as a source of finance. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of using share capital in the context of the business. • *Huawei* does not have to pay the funds back it can use the money to pay the salaries of the smartphone designers **(1)** • *Huawei* can use the money raised as it wishes such as investing in new technology **(1)** **Accept any other appropriate response.**	**(1)**

Question Number	Calculate, to two decimal places, the operating profit margin for *Huawei*. **Answer**	**Additional guidance**	**Mark**

4BS1 02 November 2021

Type MS · Market segmentation and targeting

Answer 3 of 6 · Question 1 part c · 1 mark

2021 NOV · Paper 02 · extract 4 of 6 · find part c in this mark scheme extract

1 (e)	**A02 - 2 marks** = 73 287 ÷ 721 202 x 100 **(1)** = 10.16 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** advantage for a business of using **sponsorship**. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an advantage of a business of using sponsorship, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • By sponsoring an event the business will gain publicity **(1)** the event could be local, national or global **(1)** this would mean the business would cover a wide spectrum of people **(1)** • By sponsoring an event brand awareness will be increased **(1)** this could encourage followers of the event to consider purchasing from the business **(1)** leading to increased revenue/profits **(1)** NB Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Market segmentation and targeting

Answer 3 of 6 · Question 1 part c · 1 mark

2021 NOV · Paper 02 · extract 5 of 6 · find part c in this mark scheme extract

Question Number	Analyse the benefits of *Huawei* of locating its factories near to its labour sources. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • By locating a factory in an area where there is a skilled labour force it could reduce training costs • *Huawei* may need certain skills to operate manufacturing machinery for its products e.g. smartphones **AO3** • The money saved could then be used for other purposes within *Huawei* • If those skills are available the factory may become more productive and efficient in manufacturing smartphones	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

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Type MS · Market segmentation and targeting

Answer 3 of 6 · Question 1 part c · 1 mark

2021 NOV · Paper 02 · extract 6 of 6 · find part c in this mark scheme extract

Question Number	State **one** possible reason why *Huawei* pays its employees in the UK above the minimum wage. **Answer**	**Mark**

Type MS · Market segmentation and targeting

Answer 4 of 6 · Question 2 part b · 1 mark

2022 JUN · Paper 01 · extract 1 of 6 · find part b in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid way in which *TBTS* can measure its success in business in the context of *TBTS* • An increase in the revenue it earns from selling its toys **(1)** **NB** Do not accept a way that is not in the context of *TBTS* **Accept any other appropriate response**	**(1)**

Question Number	State **one** reason why *TBTS* might segment its market **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason *TBTS* might segment the market in the context of *TBTS* • *TBTS* will be able to aim its toys appropriately to different age groups **(1)** **NB** Do not accept a reason that is not in the context of *TBTS* **Accept any other appropriate response**	**(1)**

Type MS · Market segmentation and targeting

Answer 4 of 6 · Question 2 part b · 1 mark

2022 JUN · Paper 01 · extract 2 of 6 · find part b in this mark scheme extract

Question Number	Explain **one** benefit to a business of having a flat organisational structure. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a benefit to a business of having a flat organisational structure, plus 2 further marks for explaining this benefit for a maximum of 3 marks • Businesses will have fewer levels **(1)** so lines of communication are shorter **(1)** leading to quicker decision-making **(1)** NB Answers that list three benefits with no explanation will get 1 mark only **Accept any other appropriate response.**	**(3)**

Question Number	Explain **one** method a small business may use to increase its profit. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of a method of increasing profit, plus 2 further marks for explaining this method, for a maximum of 3 marks. • Cutting costs **(1)** such as reducing the number of employees **(1)** which could increase profit if revenue stays the same **(1)** **NB** Answers that list three methods with no explanation will get 1 mark only **Accept any other appropriate response**	**(3)**

Type MS · Market segmentation and targeting

Answer 4 of 6 · Question 2 part b · 1 mark

2022 JUN · Paper 01 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Explain **one** benefit to a business of using the Boston Matrix. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for the identification of a benefit of using the Boston Matrix, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • The Boston Matrix helps a business to balance its product portfolio **(1)** showing if they have too many similar products **(1)** and can lead to identifying when they need to introduce a new product **(1)** NB Answers that list three benefits with no explanation will get 1 mark only **Accept any other appropriate response.**	**(3)**

Type MS · Market segmentation and targeting

Answer 4 of 6 · Question 2 part b · 1 mark

2022 JUN · Paper 01 · extract 4 of 6 · find part b in this mark scheme extract

Question Number	*TBTS* is considering two options: **Option 1:** using retained profits **Option 2:** getting a bank loan Justify which **one** of these two options *TBTS* should choose **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – By using retained profits *TBTS* can buy the toys immediately to sell in its toy shops • **Option 2** – *TBTS* will have to wait for a decision to be made by the bank before being able to buy the toys from new suppliers **AO3** • **Option 1** – This method does not need to be paid back so any profits made from the introduction of new toys will go back into the business • **Option 2** – *TBTS* may have more finance from a bank loan and can therefore buy a wider range of toys **AO4** • **Option 1** – However, *TBTS* can only use retained profits if they have any in the first place as it can take some time to build up profits to use in investing in new products. • **Option 2** – However, interest has to be paid back to the bank so this adds an additional cost to the business but can be paid back over a long period of time so *TBTS* can budget for this.	**(9)**

Type MS · Market segmentation and targeting

Answer 4 of 6 · Question 2 part b · 1 mark

2022 JUN · Paper 01 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Market segmentation and targeting

Answer 4 of 6 · Question 2 part b · 1 mark

2022 JUN · Paper 01 · extract 6 of 6 · find part b in this mark scheme extract

Question Number	Answer	Mark
	Define the term **inventory.**	

Type MS · Market segmentation and targeting

Answer 5 of 6 · Question 4 part b · 6 marks

2024 JUN · Paper 01 (regional R) · extract 1 of 5 · find part b in this mark scheme extract

	Answer		
4 (a)	**A02 - 2 marks** 84 054/266 058 x100 **(1)** = 31.59 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Market segmentation and targeting

Answer 5 of 6 · Question 4 part b · 6 marks

2024 JUN · Paper 01 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Analyse how *Café Pinch* could use market segmentation to target its customers. **Indicative content**	Mark
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • *Café Pinch* can look at the spend of the customers who take away its food and drink items • *Café Pinch* may want to target customers that work in Berlin or tourists who visit the city **AO3** • This can help it see if they have a wide enough price range to cater for various spends of people or if they are preventing people visiting the business because it is either too expensive or too cheap • They could use this information to reward loyal customers who work in the area while providing an authentic German café experience for tourists passing by	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Market segmentation and targeting

Answer 5 of 6 · Question 4 part b · 6 marks

2024 JUN · Paper 01 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Evaluate the importance of using methods of market research for *Café Pinch* to meet customer needs. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • *Café Pinch* can use primary market research such as questionnaires • *Café Pinch* can use secondary market research such as the internet **AO2** • It will be able to speak directly to customers who come for breakfast, lunch and drinks • It will be able to search for specific menu information that other cafes in the area are offering **AO3** • Customers completing questionnaires will give *Café Pinch* feedback on the menu giving them ideas and how they can improve and further meet the needs of their customers • The internet has a vast amount of information on it so they could even find information about suppliers and source one more local and cheaper **AO4** • However, without conducting secondary research as well as primary *Café Pinch* will not have wider research such as the local competitors and their business activity • However, there might be too much information and this could make decision making harder and possibly less accurate	**(12)**

Type MS · Market segmentation and targeting

Answer 5 of 6 · Question 4 part b · 6 marks

2024 JUN · Paper 01 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Market segmentation and targeting

Answer 5 of 6 · Question 4 part b · 6 marks

2024 JUN · Paper 01 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

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Type MS · Market segmentation and targeting

Answer 6 of 6 · Question 4 part c · 12 marks

2023 JUN · Paper 02 · extract 1 of 5 · find part c in this mark scheme extract

4 (a)	**A02 - 2 marks** 4.3 – 3.7 = 0.6 **(1)** 0.6 ÷ 4.3 x 100 = 13.95 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Market segmentation and targeting

Answer 6 of 6 · Question 4 part c · 12 marks

2023 JUN · Paper 02 · extract 2 of 5 · find part c in this mark scheme extract

Question Number	Analyse why *IKEA* uses statements of comprehensive income to assess its business performance. **Indicative content**	Mark
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • *IKEA* can study the statement of comprehensive income to see if the profit for the year has increased or has remained stable since the introduction of new beds to the range • *IKEA* can review the expenses, such as the employee bonus, made during the year to see if it can continue **AO3** • *IKEA* can then decide to either increase the range or to discontinue dependant on figures • *IKEA* can evaluate if introducing the bonus for its employees has increased production sufficiently to cover the costs	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Market segmentation and targeting

Answer 6 of 6 · Question 4 part c · 12 marks

2023 JUN · Paper 02 · extract 3 of 5 · find part c in this mark scheme extract

Question Number	Evaluate the importance to *IKEA* of using demographic segmentation when targeting its customers. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • Using demographic segmentation *IKEA* can target certain groups of people such as families with young children • *IKEA* will take into consideration the income of its customers, as this varies from country to country **AO2** • Younger families are going to need table and chairs that are reasonably priced and suitable for young children • Some customers with a larger income may want expensive looking tables and ornaments to display their wealth **AO3** • Whereas the older generation may need reliable and comfortable chairs to sit on • *IKEA* will need to take this into account when deciding what items of furniture to sell in each country **AO4** • However, not all families fit into a category and therefore *IKEA* needs to provide for all different demographics no matter where they are located • However, there is no guarantee that *IKEA*'s customers will buy what is expected of them	**(12)**

Type MS · Market segmentation and targeting

Answer 6 of 6 · Question 4 part c · 12 marks

2023 JUN · Paper 02 · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Market segmentation and targeting

Answer 6 of 6 · Question 4 part c · 12 marks

2023 JUN · Paper 02 · extract 5 of 5 · find part c in this mark scheme extract

Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)